

National Pension System

The complete guide — the extra ₹50,000 deduction, where your money actually goes, and the exit rules that changed in December 2025.

WHAT A MODEST SIP CAN BECOME

₹
5,000

EVERY MONTH, AGE 30 TO 60



₹
1.13 Crore

ILLUSTRATION AT 10% A YEAR — NOT A PROMISE

+₹50,000

extra deduction, old
regime only

18–70

entry age; can stay to
85

0.12%

maximum fund
management fee

PFRDA

regulated & audited

1. What NPS actually is

NPS is a government-created, PFRDA-regulated retirement account. You choose how much to put in and how it is split between equity, corporate bonds and government securities. Professional pension funds invest it and the value moves with the market — so unlike PPF or EPF, there is no fixed rate and no guaranteed return. What you get instead is equity exposure at a very low fund-management cost, plus a tax deduction that no other retirement product matches.

2. Who can join

Entry age	18 to 70 years
How long you can stay	You may continue or defer exit up to age 85 (raised from 75 in December 2025)
Residency	Resident Indians, NRIs and OCI card holders. PIOs and HUFs are not eligible.
Minimum to open Tier I	₹500
Minimum per contribution	₹500
Minimum per financial year	₹1,000, in at least one contribution, to keep the account active
Maximum	No upper limit

If you miss the ₹1,000 a year, the account is frozen. While frozen you cannot contribute, switch schemes, change nominees or withdraw. Reviving it needs a ₹100 penalty plus the missed minimum contribution; guidance differs on whether the ₹100 applies once or for each defaulting year, so confirm the exact amount with your CRA before paying.

3. Tier I and Tier II

Tier I — the pension account

Mandatory to start. Long-term: normal exit on completing 15 years of membership or reaching 60, whichever is earlier. All the tax benefits sit here.

Tier II — the flexible account

Optional, only for existing Tier I holders. Withdraw any time, no exit load. Opens with ₹1,000.

Tier II tax benefit

None for private-sector subscribers. Central Government employees may claim Tier II within the ₹1.5 lakh limit with a 3-year lock-in (old regime only). State Government employees are not covered.

Use Tier I unless you have a specific reason. For a private-sector subscriber Tier II gives no deduction and behaves like an ordinary fund with fewer choices. The reason to hold NPS is Tier I.

4. The three deductions

The Income-tax Act, 2025 replaced the 1961 Act from 1 April 2026. Section numbers below give the new provision first and the familiar old number in brackets; the substance is unchanged.

Sec 123 + Sch XV(y)

[old 80CCD(1)]

Your own contribution, inside the ₹1,50,000 limit — up to 10% of salary (basic + DA only) for employees, or 20% of gross total income for any other individual

Sec 124(3)

[old 80CCD(1B)]

Extra ₹50,000, over and above that limit

Sec 124(1) & (2)

[old 80CCD(2)]

Your employer's contribution — up to 10% of salary in the old regime, 14% in the new regime (14% in both regimes for government employers). Over and above your own two limits.

Under the new tax regime, the first two are not available. Only the employer contribution under Sec 124(1)/(2) still gives a deduction. Check which regime you are in before you invest for the ₹50,000.

What the ₹50,000 is actually worth

For an old-regime taxpayer in the 30% slab: ₹15,000 of tax plus 4% cess = ₹15,600 a year, or about ₹4,68,000 over a 30-year career — more if surcharge applies. In the new regime it is worth nothing under this head.

One correction to a very common claim. The extra ₹50,000 is not exclusive to NPS. It is available for any pension scheme notified under that section — **Atal Pension Yojana contributions also qualify**, and an **NPS Vatsalya** account for a minor shares the same ₹50,000 ceiling rather than adding a second one.

The limit most people never hear about

Under Sec 17(1)(h) [old 17(2)(vii)], your employer's combined contributions to EPF, NPS and an approved superannuation fund are taxable as a perquisite above ₹7,50,000 in a year, and Sec 17(1)(i) also taxes the growth on that excess. This applies in both regimes.

5. Illustrative corpus

Assuming you start at 30, contribute every month to 60, and the portfolio averages the rate shown. These are illustrations, not projections or promises.

MONTHLY	YOU INVEST BY 60	AT 10% — CONSERVATIVE	AT 12% — OPTIMISTIC
₹2,000	₹7,20,000	₹45,20,976	₹69,89,928
₹5,000	₹18,00,000	₹1,13,02,440	₹1,74,74,821
₹10,000	₹36,00,000	₹2,26,04,879	₹3,49,49,641
₹15,000	₹54,00,000	₹3,39,07,319	₹5,24,24,462
₹20,000	₹72,00,000	₹4,52,09,758	₹6,98,99,283

Be careful with the 12% column. Over the ten years to August 2026, NPS Scheme E (equity) funds returned roughly **11.5% to 13%** a year, and no fund beat its benchmark over that period. Those are equity-only numbers — a Tier I portfolio is never fully in equity, so a realistic blended assumption for a 75%-equity allocation sits closer to **9–11%**. Treat 10% as the planning case and 12% as the good outcome.

Figures assume contributions at each month end and monthly compounding. Actual NPS returns are computed on daily NAVs and will differ.

6. Year by year at ₹5,000 a month

The full 30-year path at 10%. Note the last five years: each single year's growth is larger than everything you contributed in the entire first decade (₹6,00,000).

YEAR	OPENING	YOU ADD	GROWTH @10%	CLOSING
1	₹0	₹60,000	₹2,828	₹62,828
2	₹62,828	₹60,000	₹9,407	₹1,32,235
3	₹1,32,235	₹60,000	₹16,675	₹2,08,909
4	₹2,08,909	₹60,000	₹24,703	₹2,93,612
5	₹2,93,612	₹60,000	₹33,573	₹3,87,185
6	₹3,87,185	₹60,000	₹43,371	₹4,90,557
7	₹4,90,557	₹60,000	₹54,196	₹6,04,752
8	₹6,04,752	₹60,000	₹66,153	₹7,30,905
9	₹7,30,905	₹60,000	₹79,363	₹8,70,269
10	₹8,70,269	₹60,000	₹93,956	₹10,24,225
11	₹10,24,225	₹60,000	₹1,10,078	₹11,94,302
12	₹11,94,302	₹60,000	₹1,27,887	₹13,82,189
13	₹13,82,189	₹60,000	₹1,47,561	₹15,89,751
14	₹15,89,751	₹60,000	₹1,69,295	₹18,19,046
15	₹18,19,046	₹60,000	₹1,93,306	₹20,72,352
16	₹20,72,352	₹60,000	₹2,19,830	₹23,52,182
17	₹23,52,182	₹60,000	₹2,49,132	₹26,61,314
18	₹26,61,314	₹60,000	₹2,81,502	₹30,02,816
19	₹30,02,816	₹60,000	₹3,17,262	₹33,80,078
20	₹33,80,078	₹60,000	₹3,56,766	₹37,96,844
21	₹37,96,844	₹60,000	₹4,00,407	₹42,57,251
22	₹42,57,251	₹60,000	₹4,48,618	₹47,65,869
23	₹47,65,869	₹60,000	₹5,01,877	₹53,27,745
24	₹53,27,745	₹60,000	₹5,60,712	₹59,48,458
25	₹59,48,458	₹60,000	₹6,25,709	₹66,34,167
26	₹66,34,167	₹60,000	₹6,97,512	₹73,91,679
27	₹73,91,679	₹60,000	₹7,76,833	₹82,28,512
28	₹82,28,512	₹60,000	₹8,64,461	₹91,52,973
29	₹91,52,973	₹60,000	₹9,61,264	₹1,01,74,236
30	₹1,01,74,236	₹60,000	₹10,68,203	₹1,13,02,440

7. The asset classes

E — Equity

Shares. Highest growth, largest swings. Capped at 75% of Tier I under legacy Active Choice.

C — Corporate debt

Bonds issued by companies. Moderate risk and return.

G — Government securities

Sovereign bonds. Lowest risk.

Asset Class A no longer exists. The Alternative Investment Fund class, once capped at 5% and available only under Active Choice, was **merged into Schemes C and E in December 2025**. Older guides and articles still list four asset classes.

Two further points on the equity cap. There is no age tapering any more — the old rule that cut equity by 2.5 points a year from age 51 was removed in October 2022, so 75% applies right up to 60. But subscribers who join between 65 and 70 are capped at 50% under Active Choice. And under the Multiple Scheme Framework, live since 1 October 2025, subscribers can hold multiple schemes across pension funds with equity-heavy categories permitting up to 100% equity — so “NPS caps equity at 75%” is now true only of legacy Active Choice.

8. Active Choice or Auto Choice

- **Active Choice** — you set the split yourself, within the caps above.
- **Auto Choice (lifecycle)** — equity starts high and steps down automatically with age. There are four variants, renamed by PFRDA in October 2025: **Life Cycle 75 – High** (75% equity to age 35, then tapering), **Life Cycle 50 – Moderate**, **Life Cycle 25 – Low**, and **Life Cycle – Aggressive** (the Balanced Life Cycle fund, which holds 50% equity until age 45 before tapering).

9. Switching — and its limits

Changing your asset allocation or your pension fund manager is not a redemption and not a taxable event. Very few Indian products allow that. The limits, per PFRDA’s January 2022 circular, are **four changes of investment choice per financial year and one change of pension fund manager per financial year**, applied separately to Tier I and Tier II.

10. Charges, with real numbers

Investment management fee (new five-year cycle from 1 April 2026), charged on the fund's assets, not yours:

FUND SIZE	NON-GOVERNMENT SECTOR	GOVERNMENT SECTOR
Up to ₹10,000 cr	0.12%	0.09%
₹10,001–₹50,000 cr	0.08%	0.06%
₹50,001–₹1,50,000 cr	0.06%	0.05%
Above ₹1,50,000 cr	0.04%	0.03%

So the most a retail subscriber pays in fund management is 0.12% a year, falling to 0.04% in the largest funds — a small fraction of a typical equity mutual fund. Other charges: CRA annual maintenance is slab-based, from nil on a zero balance to about ₹500 above ₹50 lakh; PRAN issue is roughly ₹18 to ₹40.

Point of Presence charges change on 1 October 2026. The new structure is ₹200 per PRAN on onboarding (₹100 if fully digital), plus **0.20% a year of assets** (0.10% for CPSE employees), minimum ₹30. That replaces the old per-contribution model and is materially costlier on a large balance. **Subscribers who onboard through eNPS and contribute through eNPS or D-Remit pay no POP charge at all** — the single biggest cost decision you will make in NPS.

11. Exit at 60 — the December 2025 change

The PFRDA (Exits and Withdrawals under the National Pension System) (Amendment) Regulations, 2025 — notified 12 December 2025 and gazetted on 15 December 2025 — raised the lump-sum share for non-government subscribers. As currently notified:

Corpus up to ₹8 lakh	100% as lump sum — no annuity required
₹8 lakh to ₹12 lakh	Up to ₹6 lakh as lump sum; the balance to annuity (minimum 20%) or Systematic Unit Redemption over at least six years
Above ₹12 lakh	80% lump sum, minimum 20% annuity — previously 60/40
Government subscribers	Stay on 60% / 40% above ₹12 lakh, but get the same small-corpus relaxations. Those who join <i>after</i> 60 get the 80/20 split.

The regulations moved; the tax law did not. The exemption for the NPS lump sum is still capped at **60% of the corpus** (old Section 10(12A), carried into the Income-tax Act, 2025). PFRDA now permits 80%, so **the additional 20% appears taxable at your slab** unless and until the Act is amended. This is unresolved — treat it as an open point, not settled law, and check before planning around it.

12. Taking money out before 60

Partial withdrawal

Allowed after 3 years of membership, up to 25% of your own contributions (not the employer's share, not the growth). Tax-free under old Section 10(12B), subject to the 25% ceiling and to the withdrawal being for a permitted purpose.

The permitted purposes changed in December 2025. Higher education and children's marriage were removed, along with skill development and setting up a business. What remains:

- Purchase or construction of a residential house or flat — **once only**, and only if you do not already own one (other than ancestral property);
- Medical treatment or hospitalisation of yourself, spouse, children or parents — now **any illness**, not a specified critical-illness list;
- Repayment of a financial obligation secured by a lien on your NPS account in favour of a regulated financial institution.

How many times: a maximum of four partial withdrawals before 60, with at least four years between them. After 60 there is no cap on the number, with a minimum three-year gap, each still limited to 25% of your own contributions.

Premature exit

There is no longer a minimum subscription period for a voluntary exit — the old five-year lock-in was removed in December 2025. On premature exit, a corpus of up to ₹5 lakh (doubled from ₹2.5 lakh) can be taken entirely in cash; above that, **80% must buy an annuity** and only 20% comes as cash. That is the mirror image of the exit at 60, and it is why NPS should never hold money you may need early.

On death

For a non-government subscriber the whole corpus is payable to the nominee, with no compulsory annuity; the nominee may instead choose annuity or a staggered payout. Without a valid nomination a succession certificate is needed. For government subscribers the default is different — broadly 80% to a family annuity, relaxed to a full lump sum for small corpora.

13. Systematic Lump Sum Withdrawal

Rather than taking the whole lump sum at once, you can draw it in monthly, quarterly, half-yearly or annual instalments while the balance stays invested. A companion facility, **Systematic Unit Redemption**, was introduced by the 2025 amendment for the middle corpus band.

One number to verify yourself. NPS Trust's published SLW material still states that the facility runs to **age 75**, while the 2025 amendment allows subscribers to stay invested to **85**. The two documents have not been reconciled in public sources. Confirm the current ceiling with your CRA before you plan a drawdown schedule.

14. The annuity part — read this twice

The annuity portion buys a pension from an insurer. Three consequences follow.

- The amount used to buy the annuity is not taxed at that moment, but the pension you receive is fully taxable at your slab, every year, for life.
- For an individually held account that pension is taxed under **Income from Other Sources**, so the salary standard deduction does not apply. It applies only where an employer purchased the annuity.
- Annuity rates in India have historically been modest, which makes this the weakest part of the product. On a ₹1.13 crore corpus, the minimum 20% is about ₹22.6 lakh, which at a 6% annuity rate buys roughly ₹11,300 a month — taxable.

15. Opening an account

- Online through eNPS using Aadhaar, PAN or DigiLocker — and this is also the route that avoids POP charges.
- Offline at any Point of Presence: banks, post offices and other registered POPs.
- You receive a **PRAN**, which stays with you for life across employers, sectors and cities.
- **Corporate NPS**: the employer deduction under Sec 124(1)/(2) can *only* be claimed if your employer contributes through payroll. The self-employed cannot claim it at all. If your company has not set it up, ask.

16. Practical checklist

- Check your tax regime first. Old regime — the ₹50,000 is real. New regime — only the employer route helps.
- Onboard through eNPS and contribute via eNPS or D-Remit to avoid POP charges from 1 October 2026.
- Do not park money here that you may need early. Premature exit forces 80% into an annuity above ₹5 lakh.
- Choose your equity level deliberately. A 30-year-old defaulting into a low-equity lifecycle fund gives up decades of growth.
- Contribute at least ₹1,000 each financial year or the account freezes.
- Review once a year, not once a month. You get four allocation changes and one fund-manager change per year.
- Plan for the annuity, not just the corpus. The pension is taxable and the rate is set when you buy it.

17. Where NPS sits against the alternatives

PRODUCT	RETURN	RISK	TAX ON EXIT
NPS Tier I	Market-linked	Medium to high	60% exempt; annuity taxable
EPF / VPF	8.25% declared for FY 2025-26	Very low	Exempt within limits
PPF	7.1% notified for the quarter	Very low	Fully exempt
Equity mutual fund	Market-linked	High	Capital gains tax applies

NPS is not a replacement for EPF, VPF or PPF. It is the equity-plus-deduction layer on top of them, and the compulsory annuity is the price of that deduction.

Questions about your own situation?

Drop a comment or a DM and I'll help you think it through.

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General information, not financial advice. I am not a registered investment adviser and not a distributor of any product mentioned. NPS is market-linked: the 10% and 12% figures are illustrations, not projections, and returns are not guaranteed. Rules stated here reflect the PFRDA (Exits and Withdrawals under the NPS) (Amendment) Regulations, 2025 (notified 12 December 2025), PFRDA circulars up to September 2026, and the Income-tax Act, 2025 in force from 1 April 2026. Three points are expressly unsettled and marked in the text: the taxability of the lump sum above 60%, the maximum age for Systematic Lump Sum Withdrawal, and the account revival fee. Verify anything you act on at pfrda.org.in, npstrust.org.in and npsra.nsdl.co.in, and take advice from a qualified tax professional.